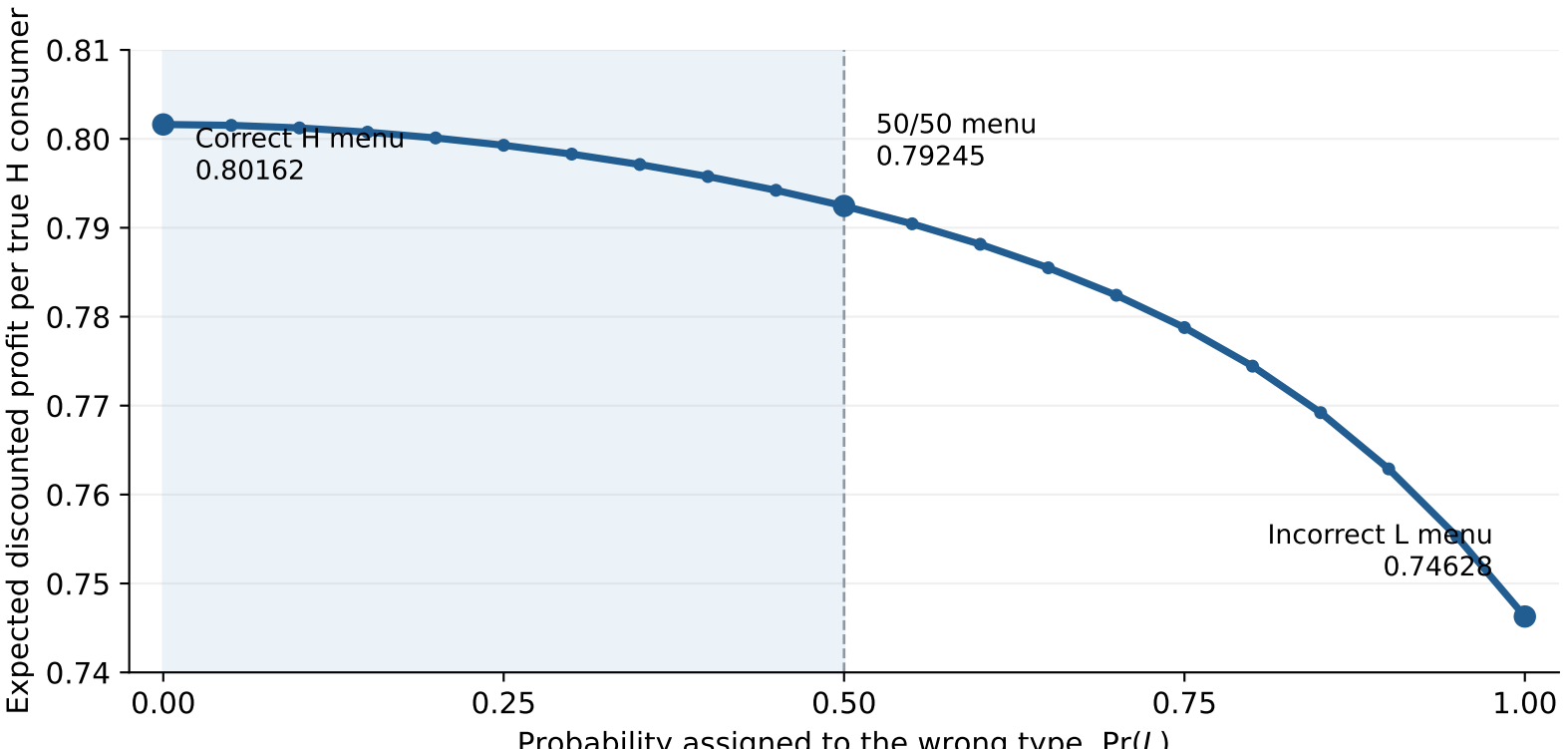
Mispricing reduces profit from a true high-type consumer

True type held fixed at H; prices are optimized for the assumed type probabilities.



Shaded region: the pricing belief moves from certainty about H to an even split.

Each point evaluates the resulting full price menu on a true H consumer.